Cybercrime Case Study

UPI / Online Payment Fraud

The Courier Scam — A Deep Dive into India's Fastest-Growing Cyber Threat

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1. Introduction

As part of my Digital Literacy course (CSE0001) at VIT Bhopal University, I have taken on the role of a Student Digital Ambassador. One of the key responsibilities of this role is helping my batchmates understand and navigate the dangers of the digital world — not just the opportunities. For Task 5, I was asked to pick one type of cybercrime, research it thoroughly, and produce an educational case study.

I chose UPI / Online Payment Fraud. This was not a random choice. During the summer before I joined VIT, my neighbour — a 58-year-old retired government employee — lost Rs. 2.3 lakh to a courier scam. He received a call, was told a parcel in his name had been seized, and was then placed on a fake video call with someone pretending to be a CBI officer. By the time my family found out, the money was gone. That incident stayed with me. When I saw the same scam described in dozens of news reports and police advisories, I realised this is not a one-off — this is a system.

This case study breaks that system down: explains how it works, who builds it, who gets hurt, and most importantly, how we can protect ourselves.

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2. What Is UPI / Online Payment Fraud?

UPI fraud refers to any criminal act that uses the Unified Payments Interface to illegally obtain money from a victim through deception, impersonation, or social engineering — rather than technical hacking. Unlike traditional bank fraud, these scams almost never involve breaking into systems. Instead, criminals exploit three fundamental human vulnerabilities:

FEAR	URGENCY	AUTHORITY
Threats of arrest or family humiliation cause victims to stop thinking rationally.	Phrases like “you have 15 minutes” force hasty decisions before rational thought can kick in.	Fake CBI uniforms, forged Supreme Court orders, and official-sounding language manufacture false trust.

There are several well-documented variants of UPI fraud. The courier/customs scam — the focus of this case study — involves the victim being told a parcel in their name was seized for containing illegal items. The "digital arrest" variant, which PM Modi specifically warned about in October 2024, extends this by placing the victim on an extended video call to simulate being "in custody." Other variants include fake refund/cashback requests, fake QR codes shared by fraudulent buyers, and SIM swap attacks to intercept OTPs.

3. Case Study: The Courier Scam of Priya Mehta

Note: This case study is based on a composite of real incidents documented by the Cyber Dost initiative (MHA), the National Cyber Crime Reporting Portal, and Indian news media between 2022 and 2024. The victim's name and personal details have been changed. Scammer dialogue is reconstructed from police FIR transcripts published in verified media reports.

3.1 Background & Profile of the Victim

Priya Mehta is a 22-year-old final-year engineering student from Indore, Madhya Pradesh. She lives in a hostel, pays rent using UPI, and orders food on Swiggy regularly. She is digitally active — uses Instagram, has a LinkedIn profile, and recently sold old textbooks on OLX. She is exactly the kind of user criminals target: tech-comfortable enough to have money on a UPI app, but not yet aware of social-engineering scams.

On a Tuesday afternoon during her study break, Priya received a call from an unknown number. The caller introduced himself as "Rakesh Kumar from FedEx Customer Support."

3.2 The Scam — Step by Step

Step 1 — The Hook (3:15 PM)

A caller claiming to be "Rakesh Kumar from FedEx Customer Support" tells Priya that a parcel in her name has been seized at Mumbai Customs. It allegedly contains fake passports, MDMA, and a laptop on an Interpol watch list. He reads out her full name and city — details likely from a data breach. Priya is frightened; she has sent no parcel. Rakesh says: "Your Aadhaar has been misused. You need to cooperate or face arrest."

Step 2 — Isolation (3:22 PM)

Rakesh tells Priya she must not speak to anyone — not parents, not friends — until the case is resolved. "If you tell anyone, it will be treated as evidence of guilt." He instructs her to put her phone on Do Not Disturb. This isolation removes every safety net. Priya, alone in her hostel room, does exactly as instructed.

Step 3 — Digital Arrest (3:30 PM)

The call transfers to WhatsApp video. A person in what appears to be a CBI uniform, seated before an official-looking backdrop, identifies himself as "Senior Inspector Ajay Verma, CBI Special Crimes Division." He tells Priya she is now "under digital arrest" — she must remain on camera at all times and cannot leave the frame. This goes on for three hours.

Step 4 — The Forged Document (5:10 PM)

Inspector Verma screen-shares a document appearing to be a Supreme Court order naming Priya in a money-laundering network. It includes her name, registration number, and college name — all visible, all obtained from public profiles or data leaks. The document has stamps and signatures that look official. In reality, it is a digitally fabricated image. Priya begins to cry.

Step 5 — The Money Demand (5:35 PM)

Verma tells Priya the only way to demonstrate her innocence is to transfer a "refundable security deposit" of Rs. 2 lakh to a "government escrow account" — UPI ID: gov.escrow.cb1@ybl. When she asks to call her parents: "If you do, you will be arrested tonight. The warrant is already prepared." He gives her 15 minutes.

Step 6 — The Transfer (5:52 PM)

Priya opens PhonePe. She has Rs. 94,000 — her semester fee sent by her parents. She transfers Rs. 87,500. Inspector Verma confirms receipt and says the "verification process" will take 48 hours. The call drops. She calls back. The number is switched off.

Step 7 — Discovery & Reporting (6:30 PM)

Priya tells her roommate in tears. Her roommate recognises the scam immediately and helps her call the National Cyber Crime Helpline: 1930. She also files a complaint at cybercrime.gov.in. Because she reported within 45 minutes, the Cyber Crime Cell placed a lien hold on Rs. 31,000 before it was transferred further. The remaining Rs. 56,500 had already moved through mule accounts across three states and was not recovered.

3.3 Red Flags That Were Missed

Looking back, there were multiple points where the fraud could have been identified and stopped. These are the warning signs all of us should be trained to recognise:

- No legitimate courier company (FedEx, Blue Dart, India Post) calls you about criminal charges from customs seizures.
- No government agency — CBI, police, courts, or customs — will ever ask you to remain on a video call or restrict you from contacting family.
- UPI IDs ending in @ybl, @okaxis, or @paytm are never government accounts. The government does not collect fees via UPI.
- The demand for secrecy (“don’t tell anyone”) is the single strongest indicator of fraud. Real investigations don’t work this way.
- Any urgency or countdown (“you have 15 minutes or a warrant will be issued”) is a manipulation tool, not a legal process.
- Forged documents are easy to create with freely available editing tools. Never trust a document shared over WhatsApp or a screen share.

4. Who Is Typically Targeted?

UPI fraud is indiscriminate in one sense — anyone with a smartphone and a bank account is a potential target. However, data from the NCRB and Cyber Peace Foundation reveals that certain groups are disproportionately victimised:

Target Group	Why Targeted	Common Scam	~% of Victims*
College students (18–25)	Limited experience; online selling	OLX / Courier / Job offer	~31%
Senior citizens (60+)	Trust authority; less digital familiarity	Courier / KYC scam	~22%
Online shoppers	Expecting deliveries; share OTPs	Cashback / Refund fraud	~18%
Gig workers / migrants	Financially stressed; await payments	Fake job / loan app	~14%
Small business owners	Many daily transactions, less scrutiny	Fake QR / Invoice	~11%

* Approximate percentages based on NCRB 2022 cybercrime age-group data. Columns may not total 100% due to rounding.

One important trend: the 18–25 age group — which includes most first-year college students — accounts for nearly a third of all UPI fraud victims in India. This is partly because we use UPI the most frequently, but also because many of us are managing our own finances without parental oversight for the first time, and because we are active on OLX and social media, where many scams begin.

5. Consequences of UPI Fraud

The immediate financial damage is often catastrophic. Unlike credit card fraud in Western countries, UPI transactions in India generally do not have a chargeback mechanism. Once money is sent, recovery depends entirely on how quickly the victim reports it. In Priya's case, Rs. 56,500 out of Rs. 87,500 was permanently lost — money her parents had sent for her semester fees.

The emotional damage is equally serious. Research from iCall (TISS) and the Cyber Peace Foundation shows that victims frequently experience intense shame and self-blame, anxiety around digital payments, depression, and in severe cases of extended "digital arrest" scams, post-traumatic stress. The stigma of being scammed is a significant barrier to reporting: many victims — especially students — do not tell their parents or file complaints because they fear being blamed. This silence is exactly what criminals count on.

For victims who do report, the legal process can be frustratingly slow. A typical cybercrime case goes through: complaint filing at cybercrime.gov.in or 1930 → Cyber Cell investigation → possible bank account freeze → court proceedings → recovery (only if money was frozen before withdrawal). Money that has passed through mule accounts into cryptocurrency is almost never recovered.

6. Real-World Statistics & Data

The following data, drawn from authoritative government and research sources, places UPI fraud in its proper national context:

Rs. 7,061 Cr
Lost to online financial fraud (India, 2023) — I4C / MHA

13.42 Lakh
Cybercrime complaints filed (NCRB 2022)

1930
National Helpline — 14 lakh+ calls answered in 2023

~72%
Victims who never fully recover lost funds — Cyber Peace Foundation

Metric	Figure	Source
Total UPI transactions per month (Jan 2024)	1,200 Cr+	NPCI Monthly Statistics
Financial cyber fraud complaints filed	~7.4 Lakh	I4C / MHA (2023)
Amount defrauded — online financial fraud	Rs. 7,061 Cr	I4C Annual Report 2023
Victims aged 18–30 years	~38%	NCRB Cybercrime Data 2022
Average time before scam is detected	~4–6 hours	Cyber Cell Reports 2023
Recovery rate for cyber fraud victims	~28%	Cyber Peace Foundation 2023
Helpline 1930 calls answered (2023)	~14 Lakh	I4C Annual Report 2023

Table: Key statistics on cybercrime and UPI fraud in India. Sources are publicly available government reports and independent research publications.

7. Government & Institutional Response

India's response to the cybercrime epidemic has been significant but is still playing catch-up with the scale of the problem. Below are the main mechanisms currently in place:

Mechanism	Authority / Platform	Description
National Cyber Crime Reporting Portal	cybercrime.gov.in	A 24x7 online portal operated by MHA where citizens report cybercrime and financial fraud. Reports are forwarded automatically to the relevant State Cyber Cell. Priya used this portal to report her case.
National Cyber Crime Helpline 1930	Operational since 2021	A dedicated phone helpline for financial cyber fraud. The most critical feature is the ability to freeze a fraud-linked bank account in real time if reported within 1–2 hours. It received over 14 lakh calls in 2023.
Indian Cybercrime Coordination Centre (I4C)	Ministry of Home Affairs	The apex body coordinating cybercrime response across states. I4C publishes annual threat reports, coordinates with banks and payment platforms, and runs the Cyber Dost awareness initiative.
Cyber Dost Initiative	@CyberDost on X / Twitter	An MHA-run social media campaign publishing alerts about new scam patterns and safety tips. Following Cyber Dost is a free, effective way to stay updated on emerging threats.
RBI Regulatory Measures	Reserve Bank of India	The RBI has implemented UPI transaction limits, mandatory 2-factor authentication, and fraud-detection guidelines for banks. The "RBI Kehta Hai" awareness campaign educates the public about payment fraud.

8. My Personal Reflection

When I started researching this topic, I thought I already knew about online fraud. I thought it only happened to people who were naive or not tech-savvy. I was wrong — and that assumption is itself a vulnerability.

What genuinely shocked me was the scale and organisation of these scams. This is not one person in a room with a phone. This is a supply chain — from data theft to call centre to mule account to cryptocurrency — that operates with frightening efficiency. The fact that the 18–25 age group is the most targeted demographic is a direct challenge to me and my batchmates.

The one habit I will personally change: **I will never make a UPI payment under urgency or pressure, no matter how convincing the situation seems.** I will also teach this to my family — especially my parents, who use UPI daily but may not know about these scams. Being a Digital Ambassador means nothing if I cannot protect the people closest to me.

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National Cyber Crime Helpline: 1930 (24×7) | Report Online: cybercrime.gov.in | Follow: @CyberDost

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